Ministry of Housing, Communities & Local Government

Rt Hon Steve Reed OBE MP
Secretary of State for Housing, Communities & Local Government
2 Marsham Street
London
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Leaders in Leicestershire, Leicester and Rutland
By email

16 July 2026

Dear Leaders,

Thank you for your continued work to deliver local government reorganisation in Leicestershire, Leicester and Rutland. This Government is delivering the most ambitious programme of local government reform in a generation, replacing the inefficient two-tier system with new unitary councils so that all parts of our country can access strong services, and are ready for devolution. We need to devolve power out of Whitehall so that we can rebalance wealth, power and opportunity across our country. But devolution must be built on strong local councils that can deliver good public services, support growth, and remain closely connected to the communities they serve.

Doing this right means recognising the unique contributions that different areas make to people's lives, as well as to the national economy. Some of our smaller cities are highly productive, but have been constrained by tight boundaries, set decades ago, which stop them from building the homes they need. Others are more rural, with significant demand for social care services and affordable housing. Local government should be set up to address the unique circumstances of each area and design public services tailored to each community.

Reorganisation provides us with a once-in-a-generation opportunity to ensure that councils genuinely represent the communities they serve today and stand the test of time. We know that people care about their own villages, home towns, high streets and communities. In many parts of the country, existing boundaries do not match local economies, public services, or local identities.

We won't achieve effective devolution or enable effective place-based public services with outdated and misaligned structures that slow down delivery, fragment public services, hamper housebuilding and slow down important decision making. We need to make sure that new councils are grounded in place and are genuinely connected to their communities.

Decisions

I have considered your proposals carefully against the criteria set out in the invitation letter of 5 February last year, alongside the responses to the consultation, representations made, requests for modifications made alongside the proposals and all other relevant information.

Following this assessment, I have decided to move forward with the implementation of the **two unitary proposal submitted by Leicester City Council**. In doing so, in accordance with the provisions of the Local Government and Public Involvement in Health Act 2007, I will exercise my power to modify the proposal to achieve the boundary change requested alongside their proposal, with the exception of the part parishes. For ease, this is now referred to as "my selected option".

These new councils would comprise the current areas of:

- Leicester City Council, Oadby and Wigston Borough Council, plus 16 parishes from Blaby District Council, 11 parishes from Charnwood Borough Council and seven parishes from Harborough District Council (referred to in the proposal as 'Leicester Council')
- Blaby District Council less 16 parishes, Charnwood Borough Council less 11 parishes, Harborough District Council less seven parishes, Hinckley and Bosworth Borough Council, Melton Borough Council, North West Leicestershire District Council and Rutland County Council (referred to in the proposal as 'Leicestershire & Rutland')

In my view, my selected option will enable a better outcome overall for the area than the unmodified proposal. It should be noted that the six part-parishes included in the modification have not been approved and will remain in the Leicestershire and Rutland authority. These are: Ashby Magna, Dunton Bassett, Gaulby, Houghton on the Hill, Kings Norton, and Rothley.

I want to thank you for all the work that has gone into developing proposals that seek to deliver new unitary councils that will help to grow the local economy and provide better public services for the people of Leicestershire, Leicester and Rutland. Your ongoing collaboration will be vital to ensure that the proposal submitted by Leicester City Council, with the requested modification excepting the six part-parishes listed above, is implemented by April 2028 with the interests of residents at its heart.

Turning to the reasons for my decision, in my judgement, although all three proposals met the criteria, I consider my selected option to be the best proposal overall. In my view, this proposal is the only one that resolves the core structural issue facing the region, which is the under-bounding of the city of Leicester. I judge that this proposal therefore delivers the best long-term geographic and strategic fit for the area. In particular, my selected option performs well in the following areas:

- **Sensible geography for economic growth:** In my view, my selected option best creates new councils with sensible geographies that reflect the functional urban economic area. It is the only option that adequately addresses the challenges of Leicester's under-bounded geography, which currently acts as a brake on economic growth and housing delivery. While the other two unitary option and the three unitary option have strengths on service stability and local identity respectively, neither of those options seek to address the boundaries of Leicester. I note that the current city boundary excludes large parts of the functional urban economy, leading to an imbalanced tax base and higher service costs concentrated within the city. I judge that my chosen option will provide the closest reflection of where people live and work, while also creating two more balanced authorities in terms of population, tax base, and service demand. While I recognise that there are strong views held locally about the expansion of the city boundary and the boundary changes, I am of the view that the benefits of the proposal

in supporting housebuilding and wider economic growth means that this expansion is justified despite those strong views.

- **Meeting local needs, especially on housing:** As above, I note that Leicester's current boundary is severely constrained, which is limiting the city's ability to increase housing supply and meet its housing and employment land needs. I judge that my selected option will best address this, with the requested boundary changes (excepting part-parishes) and expansion to the city potentially unlocking land to provide thousands of new homes and many hectares of employment land in the next 20 years, which will help address unmet local housing need and in turn support long-term economic growth. I also judge that my selected option will be better placed to design and deliver services that best meet the needs of the people they serve, with the opportunity to commission and deliver services that are more targeted at rural or urban populations.
- **Devolution:** While all of the options would support future devolution arrangements, in my view my selected option performs strongly as it will create two balanced authorities aligned to functional economic geography, which will allow more effective coordination of transport, housing, and growth levers, providing a clear and credible foundation for a Strategic Authority governance.

I acknowledge that my selected option will be more complex to deliver in the short term given the requested boundary changes and the extensions of service delivery required. As I set out above, I judge that there is a strong public services and financial sustainability related justification for the boundary change. It strengthens alignment with the functional economic area and geography, improves the city's ability to support housing delivery at scale, and provides a clearer governance footprint for strategic growth and devolution. Alongside this, the boundary changes will facilitate the creation of more balanced authorities and improve the socio-economic distribution of demand and resources between the authorities.

I considered the expected costs and benefits set out in the proposals, as well as the ability of each new council to be financially resilient. I judge based on the evidence from the proposals that the two options involving the creation of two unitary authorities are potentially strongest on projected net savings. I am satisfied, based on our assessment against the criteria, that all proposals perform similarly on financial sustainability.

Next steps

In relation to next steps, as you are aware a Structural Changes Order, which will be subject to Parliamentary approval, is required to abolish existing councils, establish new structures and make transitional arrangements. I have carefully considered the information in the proposals as well as the further representations you have made on the content of this Order.

A broad support offer is in place for councils, including support to councils through our sector advisors and through funding to the Local Government Association for an enhanced support offer. We have already announced £63m in capacity funding to support the reorganisation process, and I am pleased to provide further detail today on how this funding will be allocated.

Of the £63 million capacity funding, as well as the unprecedented £900,000 transition support to each new unitary already announced, we are also committing up to £150,000 per each

new unitary as supplementary funding for Leadership Capacity and Continuity in Children's Services, Adult Social Care and Public Health. This is part of a wider package of support worth up to £10m for children's services, adult's social care and public health leadership, which will also fund targeted development, mentoring and peer support for current, new and aspiring leaders.

In addition, up to £1m of funding overall will be available to support the small number of areas with complex fire and rescue authority transitions.

Taken together, this means that areas undergoing local government reorganisation will receive more than £1 million per new unitary created. This is the first time reorganisation has been supported in this way and shows this Government is commitment to supporting councils to get these reforms right. We will confirm details of these allocations in due course.

Taken together, this means that each new unitary authority will receive over £1m each in capacity funding. This is the first time reorganisation has ever been supported in this way and shows the Government's commitment to supporting councils to get these reforms right.

I look forward to continuing to work closely with you to deliver the vital improvements that reorganisation can facilitate.

I am copying this letter to your Chief Executives, MPs, and the Police and Crime Commissioner for Leicester, Leicestershire and Rutland.

Yours sincerely,



RT HON STEVE REED OBE MP
Secretary of State for Housing, Communities and Local Government